



Andrea Cimi

Strategy: **Order Flow**
Asset Class: **Indices (NQ & ES)**
Years Trading: **5+ Years**

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Auction Market Theory Strategy

Instruments:

Futures

Trading style:

Day Trading

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Strategy Overview

This strategy is built around the idea that markets function as a continuous liquidity auction, where price moves not because there are more buyers than sellers, but because one side is more aggressive and willing to accept worse prices in order to get filled.

Every movement in the market is the result of aggressive orders interacting with passive liquidity. Buyers move the price higher when they are willing to lift offers. Sellers move the price lower when they are willing to hit bids.

The key shift in this strategy is moving away from thinking in terms of price patterns alone and instead understanding what is happening behind price.

The objective is not to predict the market, but to:

- Identify where fair value exists
- Recognize when the price moves into imbalance
- Determine whether that move is accepted or rejected
- Trade in alignment with real participation from larger players

At its core, this strategy simplifies everything into one idea: Trade when the market proves that one side is in control.

How the Market Actually Works

Markets operate as a double auction.

At any given time:

- Above the price, there are sell limit orders
- Below the price, there are buy limit orders

These limit orders create liquidity, but they do not move the price. Price only moves when a participant becomes aggressive and executes a market order.

This leads to a key understanding:

There is always an equal number of buyers and sellers in every trade. What actually moves price is not an imbalance in quantity, but an imbalance in urgency.

When traders cannot wait and are willing to accept worse prices to get filled, price moves.

Aggressive vs Passive Behavior

There are two fundamental types of market behavior: Passive participants provide liquidity. They place limit orders and wait.

Aggressive participants take liquidity. They use market orders and accept whatever price is available.

Price moves when aggressive participants step in and say, “I don’t care about getting the best price. I need to get filled now.” This urgency is what drives the auction forward.

The Real Driver: Liquidity & Execution

Large market participants do not trade the same way retail traders do. They cannot simply enter a position instantly. Their size requires them to find liquidity over time.

To do this, they:

- Split orders into smaller pieces (meta orders)
- Execute gradually
- Use execution algorithms like VWAP or TWAP

This process is known as execution alpha. Because of this, markets are constantly moving in search of liquidity. Price is not random. It is driven by the need to match large orders efficiently.

Who Is Participating in the Market

The market is made up of different types of participants, each with different objectives.

Institutional participants, such as hedge funds and banks, focus on capital allocation, hedging, and long-term positioning.

Market makers provide liquidity on both sides of the market. They are not directional traders. Their goal is to capture the spread and maintain a neutral position.

Retail traders represent a very small portion of total volume in large, liquid markets. This leads to an important conclusion: Markets are not moving to target individual stop losses. They are moving to find liquidity.

Market Structure: Balance & Imbalance

Instead of focusing on highs and lows, this playbook defines the market as a sequence of:

- Balance (fair value)
- Imbalance (price discovery)

Balance represents agreement. It is where volume builds and where both sides are comfortable trading.

Imbalance occurs when that agreement breaks, and one side dominates, pushing the price away from value.

Markets constantly move between these two states:

Balance → Imbalance → New Balance

Understanding Price Through Candles

A candlestick is a visual representation of aggression. A bullish candle means buyers were consistently willing to pay higher prices.

A bearish candle means sellers were willing to accept lower prices.

This has nothing to do with having more buyers or sellers. It reflects which side was more aggressive and whether that aggression led to continuation.

Fair Value & Volume

Fair value is the area where most trading activity takes place. It represents the price at which the market agrees that value exists.

When the price moves away from this area, it becomes inefficient. Unless strong participation continues, the price is likely to return back to fair value. This is the foundation for many of the setups in this strategy.

Understanding Stop Runs (Reality vs Myth)

What traders often call “stop-loss hunting” is actually a mechanical process.

Stop orders are market orders. When triggered, they execute immediately, creating a cascade of aggressive buying or selling. This creates sharp moves.

However, after these moves, liquidity often disappears. The order book becomes thin, and the path of least resistance shifts. Because of this, the price often reverses after a stop run.

The key insight is:
Markets are not targeting stops. They are reacting to liquidity events.

Order Flow Autocorrelation & Context

Market behavior tends to carry forward.

If a market shows strong buying or selling pressure during one session, there is a higher probability that similar behavior will appear in the following session. This concept, known as order flow autocorrelation, helps build bias.

Additionally, higher timeframes provide context. A daily candle moving higher suggests that longer-term participants are entering and holding positions, not just trading intraday fluctuations. This explains why markets can trend over time.

The Core Trading Framework

This strategy is built around three primary opportunities:

- Failed auctions below value (reversal long)
- Failed auctions above value (reversal short)
- Breakouts with acceptance (continuation)

Setup 1

Failed Auction Below Value (Reversal Long)

When the price moves below a fair value area, sellers become aggressive. If those sellers fail to push the price lower and instead get absorbed, it indicates that buyers are stepping in.

This rejection of lower prices creates an opportunity to trade back toward value. The entry occurs when buyers clearly take control after the failed attempt. The stop is placed below the area where sellers attempted to dominate.

The target is a return to fair value, and potentially the opposite side of the range.

Setup 2

Failed Auction Above Value (Reversal Short)

This setup is the inverse. Price moves above value, buyers become aggressive, but fail to continue. Sellers absorb that pressure and take control.

This rejection of higher prices creates an opportunity to trade back toward value. The entry occurs after confirmation of seller dominance.

The stop is placed above the failed auction. The target is a return to fair value.

Setup 3

Breakout with Acceptance (Continuation)

Not all breakouts are valid. A breakout is only tradable if the market shows acceptance at the new price level.

Acceptance means:

- Price holds outside the level
- Participation continues
- There is no immediate rejection

If price breaks out but quickly returns, it is not a valid breakout. It is a failed auction. The entry is taken after confirmation that the breakout is supported by real participation. The stop is placed below the breakout structure. The target is continuation in the direction of the move.

Order Flow Confirmation (Simplified)

All of this can be reduced to one core question: **Is the aggressive side being accepted or absorbed?**

If aggressive buyers push the price higher and continue to do so, they are in control.

If aggressive buyers appear but the price does not move higher, they are being absorbed.

The same logic applies to sellers. This is the key decision-making filter.

Trade Execution Framework

Execution begins with context. First, identify whether the price is inside or outside the fair value. Then determine whether the market is attempting to move into imbalance.

Once a setup forms, wait for confirmation from order flow. Only enter when there is clear evidence that one side is in control.

Define invalidation based on where that control would fail.

Manage the trade by monitoring shifts in participation. Exit when opposing pressure takes over.

Opening Range Integration

For traders using opening range breakouts, this strategy adds a layer of confirmation.

Instead of trading every breakout, wait to see whether the move is supported by real participation.

If buyers dominate and price holds above the range, the breakout is valid.

If buyers are absorbed and price returns into the range, the breakout should be avoided.

Risk Management

Risk is defined by logic, not arbitrary price levels. Stops are placed where the trade idea is invalidated, typically where the opposing side shows control.

Because entries are based on confirmation, this often allows for tighter and more efficient risk placement.

Trade Breakdown

Value Low Reversal + ORB Confirmation

The trade started with a higher timeframe context using the volume profile. Price was positioned at the value area low, while also aligning with the previous day's value area low. This created a strong confluence, indicating a location where buyers had previously shown interest and were likely to defend again.

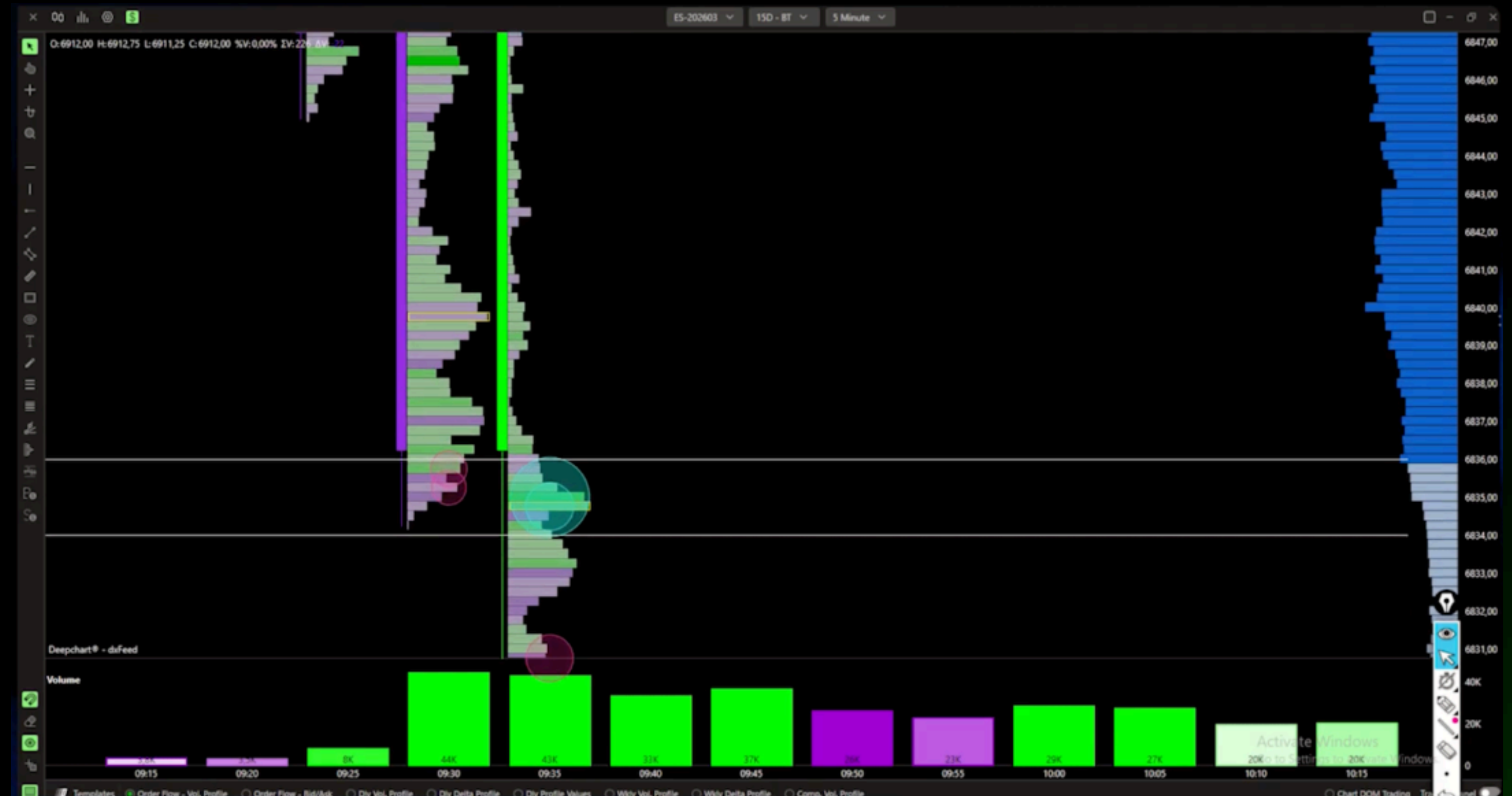


At the market open, the price moved lower aggressively. Sellers stepped in with strength, pushing the price down. However, despite this aggression, the price failed to continue lower. The selling pressure did not result in further downside, which indicated that the orders were being absorbed by buyers.

At this point, no trade was taken yet. The presence of absorption alone was not enough. The key was to wait for confirmation that buyers were actually taking control.

Shortly after, a shift occurred. Buyers began stepping in more aggressively, and order flow started to show clear strength. The imbalance transitioned from sellers being aggressive to buyers gaining control. This confirmed that the failed move lower was likely to reverse.

A long position was entered here, near the value area low.



The stop loss was placed below the area where aggressive sellers were previously active. If sellers regained control at that level, the trade idea would be invalid.

As the price moved higher, the trade developed into a rotation back toward value, following the auction principle of moving from imbalance back toward balance.

As the price approached the opening range high, attention shifted to a potential breakout.

The first breakout attempt showed aggressive buyers, but most of the activity appeared on the wick of the candle, not the body. This indicated effort, but not acceptance. Shortly after, price moved back down, confirming that buyers were still being absorbed. No additional position was taken here. Later, a second attempt occurred.

This time, buyers stepped in with stronger participation, and the activity appeared in the body of the candle, showing clear acceptance above the level. This confirmed that buyers were now in control and that the breakout had a higher probability of continuation.

A second long position was taken here, aligned with the opening range breakout.

The trade was managed based on order flow.

The initial objective was a rotation from the value area low toward the upper side of value, following the auction principle of moving from one side of the range to the other.

As price continued higher, the position was held as long as buyers remained in control.

The exit occurred when buyers began to get absorbed near the highs and sellers started to take control. This shift in order flow signaled that the move was likely ending, and the position was closed.

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